SUGGESTED ANSWER
TAX PLANNING & COMPLIANCE

Nov-Dec 2023

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Question# 1 (a):

Orbit PLC ("Orbit") has been successfully operating in Bangladesh for many years in logistic support service sector, having all the big MNCs in their clientele list. Based on a Long-Term Agreement (LTA) with the CBA, Orbit has been paying salary and wages to its workers in cash, where the highest range of salary and wages were Tk. 19,500 per month. For the income year 2022-23 (A/Y 2023-24), Orbit paid Tk. 90 million to its workers, all in cash. As per Income Tax Ordinance 1984, Orbit did not see this as an issue, as payment of salary or remuneration in cash to any employee having gross monthly salary less than Tk. 20,000 is considered admissible expenses.

However, the Tax Manager of the company was concerned when he saw:

(i) Section 55(ta) of the newly introduced Income Tax Act 2023 provides that any payment to employees, treated as income from salary of the employees, made otherwise than by crossed cheque or bank transfer shall be considered inadmissible expenses.

(ii) Income Tax Ordinance 1984 was repealed upon enactment of Income Tax Act 2023 with effect from 22nd June 2023. Some tax experts are interpreting that the provisions of newly introduced Income Tax Act 2023 shall be applicable for the A/Y 2023-24, which means the entire amount of Tk. 90 million it paid to workers will become inadmissible expenses for the A/Y 2023-24.

You are the tax consultant of Orbit. The Tax Manager of Orbit approached you for your advice, explaining that Orbit was not in a position to change its salary payment policy to the workers (i.e., no cash payment) before the new tax Income Tax Act 2023 was introduced.

Requirements:

i) Considering the relevant provisions of law (Income Tax Ordinance 1984 or Income Tax Act 2023) and subsequent clarification, if any, describe the position of Orbit, highlighting potential exposure on Tk. 90 million that it paid to its workers in cash for the income year 2022-23 **[Marks 4]**

ii) Do you see any difference, if going forward for the A/Y 2024-25, Orbit decides to hire a third party to continue to pay the salary and wages to its workers in cash, while it will reimburse the amount to the third party through banking channel? **[Marks 2]**

Answer to the Question# 1 (a)(i):

Section 344(1) of the newly introduced Income Tax Act,2023 provides that Income Tax Ordinance, 1984 shall be repealed immediately after introduction of the Income Tax Act, 2023. This means Income Tax Ordinance, 1984 has been repealed with effect from 22nd June 2023, when Income Tax Act, 2023 has been introduced.

However, Section 344(2)(a) & (b) of the newly introduced Income Tax Act, 2023 provides that any activity done, or unfinished activity initiated under Income Tax Ordinance 1984, shall be treated as the activity done under the Income Tax Act, 2023. This means, the new Income Tax Act, 2023 allows to continue follow the provisions of Income Tax Ordinance 1984 under certain circumstances.

This has been further clarified by National Board of Revenue vide a General Clarification dated 23rd August 2023 that any provision that did not exist under Income Tax Ordinance, 1984, which the assessee cannot fulfil retrospectively because of the introduction of the new Income Tax Act, 2023, those provisions shall be applicable from the A/Y 2024-25. In this particular case, Orbit cannot change its cash salary payment procedure in July 2022 based on the new Act of 2023, hence this provision shall not be applicable for Orbit and therefore Orbit should not be into any risk.

Answer to the Question# 1 (a)(ii):

For the A/Y 2024-25 Orbit has to comply with the provision of Income Tax Act 2023. This means, it cannot pay salary and wages to workers in cash anymore. In this regard, paying through third party in cash and reimbursing the third party through banking channel will not suffice to comply with the new provision of salary payment. The main reason behind is, there's no explicit provision in the law to allow such process to bypass this provision.

Moreover, being the third party will be considered as an agent of Orbit, who works on behalf of Orbit, the provisions applicable for Orbit shall also be applicable for the third party for the activities it does on behalf of Orbit, i.e., no cash. Also, if we look at the spirit of the law, Govt. is trying to bring more people under the tax net through digitization for which all payment through banking channel helps to achieve the process.

Question# 1 (b):

Mr. Azim Asraf Chowdhury is the CFO of Intel Cement PLC (IC PLC) and a subsidiary of Intel Cement Emirates Limited, UAE. The company is listed with the stock exchanges of Bangladesh. The shareholders of the company are dissatisfied with the declining trend in EPS. Income tax assessment of the company for the assessment year 2021-2022 has just been completed and Mr. Chowdhury detected that the Deputy Commissioner of Taxes (DCT) allowed deduction for accounting loss on disposal of fixed assets for BDT 70,751,200 instead of adding the same with the net loss before tax reported in the audited financial statements. The DCT subsequently did not add or deduct any tax gain/loss mentioning lack of documents.

Mr. Chowdhury also found that IC PLC added back the accounting loss and correctly added a capital gain of BDT 32,147,587 on disposal of fixed assets in the income tax return originally submitted to income tax authority. Mr. Chowdhury has also reviewed the transfer pricing study report prepared by the TP consultant for the year ended 30 June 2023 recommending adjusting the price of technical know-how payment to group entities mentioning that it is overpriced. The consultant submitted supporting financial and comparative data.

The tax manager of the company is suggesting not to bother about the errors done by the DCT since it would help the company to reverse the income tax expense recognized and report a higher EPS. In addition, he proposed for accepting adjusted price if and only if income tax authority makes such adjustment in any transfer pricing assessment.

Requirements: As the tax consultant of the company:

i) Calculate the amount of income tax benefit/loss to IC PLC from the assessment order and comment on its legitimacy. **[Marks 3]**

ii) Describe the ethical concerns and suggest appropriate course of action to Mr. Chowdhury with regard to the suggestion from the tax manager. **[Marks 4]**

Answer to the Question# 1 (b)(i):

In calculating the taxable income from business, the DCT erroneously deducted accounting loss from disposal of fixed assets from the net loss before tax reported by IC PLC. As a result, the assessed business loss of IC PLC has increased twice by the accounting loss which can be adjusted with the taxable business income of subsequent assessment years. This is because the company deducted the accounting loss in the audited financial statements and the DCT again deducted it. On top of that, the DCT ignored actual taxable gain on disposal of fixed assets.

The income tax benefit allowed to IC PLC is due to a clerical error and understanding gap of income tax authority and not in accordance with the provisions of income tax law. Hence this benefit cannot be said to be a legitimate one. The total amount of illegitimate income tax benefit may be calculated as below:

S.L.	Particulars	Amounts in BDT	Tax impact in BDT
i.	Amount of accounting loss from disposal of fixed assets as deducted in deriving the figure of net loss before tax in the audited financial statements	70,751,200	14,150,240 [@ 20%]
ii.	Erroneous deduction of accounting loss from disposal fixed assets by the DCT from net loss before tax in the assessment order	70,751,200	14,150,240 [@ 20%]
iii.	Non-consideration of capital gain from disposal of fixed assets	32,147,587	4,822,138 [@ 15%]
iv.	Total tax impact	173649987	33,122,618

Answer to the Question# 1 (b)(ii):

International Code of Ethics for Professional Accountants issued by International Ethics Standard Board for Professional Accountants sets out five fundamental principles of ethics for professional accountants which inter alia includes integrity, objectivity, professional behavior. A professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. Integrity involves fair dealing, truthfulness and having the strength of character to act appropriately, even when facing pressure to do otherwise or when doing so might create potential adverse personal or organizational consequences. A professional accountant shall comply with the principle of objectivity, which requires an accountant to exercise professional or business judgment without being compromised by bias or undue influence. A professional accountant shall behave in a manner consistent with the profession's responsibility to act in the public interest in all professional activities and business relationships. Professional behavior requires avoiding any conduct that the accountant knows or should know might discredit the profession.

Considering the ethical concerns, Mr. Azim Asraf Chowdhury FCA should decline the proposal of the tax manager and proceed for correction of errors done by the DCT. This suggestion also gains ground from the risk of reopening the case by income tax authority as income escaping assessment or a review by the Inspecting Joint Commissioner of Taxes. On top of that, reversing the income tax expense and thus reporting fabricated and unlawfully increased EPS may attract audit objections. Even there is risk of allegation of accounting fraud and punishment from the regulators particularly Bangladesh Securities and Exchange Commission. On the other hand, considering the ethical issues, Mr. Chowdhury also needs to consider the transfer pricing adjustment proposed by the transfer pricing study consultant. To be ensured of the proposed adjustment, Mr. Chowdhury may also consider reviewing the transfer pricing study by another professional accountant/transfer pricing consultant.

Question# 2 (a):

Mr. 'A' has been working as the Sales Director of Gladiator Bangladesh PLC ("Gladiator") since 2015. Gladiator is a non-listed public limited company, and has been operating in Bangladesh since 2010. Recently, as part of salary and benefit package for senior level employees, Gladiator started an Employee Share Option Scheme (ESOP) for selected employees of the company and Mr. 'A' was one of such employees, who is eligible for such ESOP. Under ESOP the shares are vested to the employees at fair market value, the employees can retain the same or they can opt for equivalent cash. For the income year 2022-23 (A/Y 2023-24) the following information are relevant for Mr. 'A' in relation to ESOP:

1) Vesting date: 31st October 2022
2) Number of shares vested under ESOP: 100
3) Fair market value on the vesting date: Tk. 10,000 per share
4) Acquisition cost per share: Tk. 100

Requirements:

Assuming Mr. 'A' was in the highest slab of income tax rate and no investment tax credit was available:

iii) Determine the tax liability of Mr. 'A', if he decides to retain the shares or opt for cash that was vested to him under ESOP. **[Marks 2]**

iv) Determine the tax liability of Mr. 'A', if he decides to retain the shares on the vesting date and sell the same @ Tk. 10,000 per share on 30th June 2023. **[Marks 2]**

Answer to the Question# 2 (a)(i):

Tax liability of Mr 'A' for the ESOP, whether he retains the shares or opted for cash will be same. As per Income Tax Act,2023 the tax liability of Mr. 'A' for the ESOP for the income year 2022-23 (A/Y 2023-24) will be as follows:

Particulars	Amount (Tk.)
Cost of shares vested to Mr. 'A' on the vesting day 31st October 2022: Tk. 10,000 x 100	10,00,000
Less: Cost of acquisition of shares @ Tk. 100 per shares	10,000
Taxable income from employment	9,90,000
Tax liability @ 25% (as already at highest slab rate)	2,47,500

Answer to the Question# 2 (a)(ii):

No further tax will attract on sale of shares @Tk. 10,000 per share because fair value on which income from employment was computed is the same. As shares were sold during the same income year, no capital gain tax will attract rather gain on sale of shares is taxable under the head income from employment as per section 34(4) of ITA,2023.

Question# 2 (b):

i) In view of introduction of General Anti-Avoidance Rules (GAAR) under new Income Tax Act 2023, describe the implication of GAAR distinguishing it from tax planning**.[Marks 4]**

ii) From the example given below, explain if it falls under the purview of GAAR and the role of DCT as per the provisions of Income Tax Act 2023:

Platinum Ltd, a resident of Country S, wants to sell its shares in Gold Ltd, a resident of Country B, to Silver Ltd, a resident of Country I. The capital gains arising from the sale of shares are taxable in Country B at a rate of 27.5%. However, Platinum Ltd does not want to pay this tax and decides to use a tax avoidance scheme. It sets up a shell company, Iron Ltd, in Country P, which has a tax treaty with Country B that exempts capital gains from taxation. Platinum Ltd transfers its shares in Gold Ltd to Iron Ltd for a nominal consideration and then sells Iron Ltd to Silver Ltd for the same price as the original deal. **[Marks 4]**

Answer to the Question# 2 (b)(i):

Implication of GAAR distinguishing it from tax planning:

General Anti Avoidance Rule (GAAR) is an anti-tax avoidance law for keeping a check on the businesses that entered into an agreement with the objective of avoiding tax. GAAR has been introduced in the year 2023 under the newly introduced Income Tax Act 2023. The implication of GAAR is that the Income tax department will have powers to deny tax benefit if a transaction was carried out exclusively for the purpose of avoiding tax. Accordingly, GAAR is considered as a tool for checking aggressive tax planning especially those transactions or business arrangements which are entered into with the objective of avoiding tax.

Generally, tax planning is the process of maximizing tax benefits under eligible provisions of the tax framework. It reduces tax liability through a variety of means, namely deductions, credits, rebates, and exemptions provided under the Income Tax Act or the corresponding tax laws and there for it is legally allowed. However, any such tax planning may get into the purview of GAAR, based on the doctrine of substance over form in which the real intention of parties is seen when they enter into an agreement to determine the tax consequence, irrespective of the legal structure of that transaction or agreement.

Answer to the Question# 2 (b)(ii):

The example, whether falls under the purview of GAAR and the role of DCT as per Income Tax Act 2023:

By doing this, Platinum Ltd avoids paying tax in Country B as the sale of shares is now between two non-residents of Country B and is exempt under the tax treaty.

The DCT of Country B may invoke GAAR to challenge this scheme and deny the tax treaty benefits to Platinum Ltd. The DCT may argue that the main purpose of setting up Iron Ltd. was to avoid tax and that it had no commercial substance or economic activity. The DCT may also contend that the transactions between Platinum

Ltd. and Iron Ltd. and between Iron Ltd. and Silver Ltd. were not at arm's length and were designed to manipulate the price. Hence the DCT may then disregard Iron Ltd. as a conduit entity and treat the sale of shares as if it was directly between Platinum Ltd. and Silver Ltd. subjecting it to tax in Country B.

Question# 3:

AB Telecommunications PLC (ABT PLC) is the fastest growing mobile telecommunication service provider in the country and listed with both the stock exchanges since December 2018. Important excerpt from the audited statement of profit or loss and other comprehensive income of the company for the year ended 30 June 2023 is provided as below.

Particulars	**Amounts in BDT '000**
Revenue	9,538,497
Cost of revenue	(5,989,138)
Administrative expenses	(557,031)
Operating expenses	(524,000)
Selling and distribution expenses	(1,364,323)
Profit from operations	1,104,005
Share of profit from associate	432,000
Net finance expense	(244,320)
Foreign exchange loss	(21,300)
Non-operating income	69,039
Profit before tax	1,339,424
Income tax expense	(161,540)
Net profit after tax	1,177,884
Other comprehensive income/(expense)	-
Actuarial gain from defined benefit plan	24,850
Related taxes	(13,720)
Total comprehensive income	1,189,014

Notes:

i. Revenue includes revenue from sale of Subscriber's Identification Module (SIM) which on average remains useful for 04 years. According to IFRS 15, ABT PLC has started to recognize revenue from sale of each SIM over the estimated average useful life from this year. The company needs to pay BDT 200 as VAT for each of the SIMs sold. To face cutthroat competition in the industry, ABT PLC subsidizes and bears the VAT instead of collecting the same from customers. ABT PLC initially capitalizes the subsidy provided and amortizes the same over a period of 4 years. Amortization starts from the date of selling each SIM. During this year, total subsidy paid is BDT 70,000,000 and accounting amortization is BDT 11,214,546;

ii. Cost of revenue includes depreciation of PPE and amortization of license fee of BDT 130,350,000 and BDT 110,647,000 respectively. The company paid a license fee of BDT 880,000,000 on November 2022 to BTRC for allocating Spectrum to ABT PLC for 06 years from the date of allocation;

iii. Administrative expense includes depreciation of BDT 84,560,300 and BDT 98,756,000 on PPE and Right of Use (RoU) assets respectively. Payment for lease of RoU assets during the year is BDT 42,758,000. Interest expense on lease liability amounts to BDT 7,242,000;

iv. The company paid perquisites exceeding the statutory limit to 12 employees pertaining to Band A and 20 employees pertaining to Band B only. Perquisite to each of the Band A and B employees amounts to BDT 2,417,000 and BDT 1,734,000 respectively. Value of perquisites allowed to CEO amounts to BDT 3,213,000.

v. Provision for defined benefit plan/gratuity amounts to BDT 17,650,000 whereas actual transfer of fund to the benefit plan is BDT 9,000,000. The fund is approved by NBR. An amount of BDT 4,500,000 was paid to the outgoing employees.

vi. Incentive bonus during the year amounts to BDT 9,800,000. Provision for bad and doubtful debt is BDT 7,668,000 whereas a provision of BDT 8,576,000 was written off during the year. Selling and distribution expense includes commission paid to distributors and retailers of BDT 12,378,000 who do not have TIN.

The company also paid salaries of BDT 6,245,000 to four employees having no TIN but properly deducted income tax at source;

vii. Fees for technical assistance and foreign exchange loss amount to BDT 80,000,000 and 56,576,000 respectively. Foreign exchange loss of BDT 26,988,000 resulted from revaluation of foreign currency denominated monetary liability as was outstanding at the balance sheet date;

viii. Non-operating income includes gain on sale of shares of associate private limited company. Company sold 1,000,000 shares (having acquisition cost of BDT 10 per share) in exchange of BDT 14.5 per share. The company paid professional fee and stamp duty of BDT 750,000 for executing the sale;

ix. Opening Tax Written Down Values (WDVs) of the PPE are as below.

Machineries in BDT	Building in BDT	Computer and computer equipment in BDT	Office equipment in BDT	Vehicle in BDT	Software in BDT
698,670,950	120,340,000	62,265,000	9,787,000	74,587,965	23,450,000
Addition during the year					
345,600,000	0	8,700,000	1,200,000	12,000,000	3,000,000

Addition during the year for vehicle represents purchase of a Mecedenz Benz Sedan car for the newly appointed CEO of the Company. All software was imported.

x. The net profit after tax during the last year was BDT 1,029,432,000 and the company declared and distributed 12% cash dividend. Considering the capital investment required to upgrade the mobile network, the company decided to distribute 10% cash and 15% stock dividend for the year ended 30 June 2023. The Company has 200,000,000 ordinary shares of BDT 10 each.

xi. The company paid BDT 480,000,000 as advance income tax. In addition, corporate customers and other telecom operators deducted income tax at source of BDT 15,460,000 and BDT 24,580,000 from bills for postpaid connection and infrastructure sharing.

Requirements:

For the assessment year 2023-24:

a) Compute income from business; **[Marks 10]**

b) Compute income from other sources **[Marks 5]**

c) Compute net income tax liability **[Marks 3]**

Answer to the Question# 3

AB Telecom PLC
Income year ended on 30 June 2023
Assessment Year 2023-24
Computation of taxable income and tax thereon

Particulars	**Notes**	**BDT'000**	**BDT'000**
Net profit before tax as per audited FS			1,339,424
Less: Share of profit of associates	2		(432,000)
			907,424
Less: Capital gain on sale of shares [14,500-10000]			(4,500)
Shown Income from business			**902,924**
Add: Items for separate consideration			
Amortization of SIM tax subsidy	3	11,215	
Accounting depreciation on PPE	4	214,910	
Accounting depreciation on RoU assets	4	98,756	
Interest expense accrued on lease liability	4	7,242	
Accounting amortization of license fee	5	110,647	
Provision for gratuity	6	17,650	
Incentive bonus	7	9,800	
Provision for bad and doubtful debts		7,668	
Fees for technical assistance	8	80,000	
Foreign exchange loss	9	56,576	
Fees and stamp duty on transfer of shares	10	750	
			615,214
Add: Inadmissible expenses			
Excess perquisites		33,897	
Commission to distributors and retailers: no TIN		12,378	
Salaries to employees having no TIN		6,245	
			52,520
Less: Separately considerable items			
Tax amortization of SIM tax subsidy	3	(7,000)	
Tax depreciation on PPE and software	11	(114,601)	
Lease rental paid	4	(42,758)	
Tax amortization of license fee	5	(146,667)	
Transfer to approved gratuity fund	6	(9,000)	
Incentive bonus [as it is within the allowable limit]	7	(9,800)	
Actual bad debts written off		(8,576)	
Fees for technical assistance	8	(72,594)	
Realized foreign exchange loss	9	(29,588)	(440,583)
			1,130,074
Capital gain			
Sale proceeds of shares in private ltd. company		14,500	
Less: Acquisition cost		(10,000)	
Less: Fees and stamp duty for transfer of shares	10	(750)	3,750
Income from other sources			
Net profit during the preceding assessment year	1,029,432		
Distributed cash dividend	(240,000)		
Transfer to reserve/retained earnings	12	789,432	
Stock dividend declared and distributed		300,000	1,089,432
Total income			**2,423,256**

Computation of tax liability

Particulars	BDT	Tax rate	Tax liability in BDT'000
Income from business	1,130,074	40%	452,030
Capital gain	3,750	15%	563
Income from other sources [as per section 22 and 23]	1,089,432	10%	108,943
Total tax liability			561,535
Tax paid in advance			(520,040)
Net income tax liability			41,495

Notes:

i. Total income has been computed in accordance with the Income Tax Act (ITA), 2023 except the statutory disallowance, for which the provisions of Section 30 of the Income-tax Ordinance 1984 has been considered. However, the provisions of Section 55 of the ITA, 2023 have been applied in applicable cases if there is no related provision in Section 30 of the ITO, 1984. Income tax liability has been computed in accordance with the rates mentioned in the Finance, Act 2023 and Section 22 and 23 of the ITA, 2023. In computing total income and tax liability thereon, figures have been presented in fraction of BDT 1,000;

ii. Associate company is a separately taxable entity. Hence income from share of profit from associate company has been excluded as it is already taxed;

iii. SIM tax is a capital expenditure and not eligible for deduction. There is no specific depreciation/ amortization rate for SIM tax subsidy in the Third Schedule to the ITA, 2023. However, according to paragraph 5 of Part II of the Third Schedule to the ITA, 2023, if there is no specific depreciation/amortization rate for any capital expenditure, an amortization @ 10% will be allowed on the same. Hence accounting amortization has been added back and 10% of total subsidy (BDT 70,000,000) paid during the year has been allowed as tax amortization;

iv. Accounting depreciation BDT 214,910 ((BDT 130,350,000+ BDT 84,560,300)/1,000) on PPE has been disallowed and depreciation in accordance with Third Schedule to the ITA, 2023 has separately been allowed. According to paragraph 2 of the Third Schedule of the ITA, 2023, in the absence of ownership, deprecation has not been allowed on RoU assets. However, according to Section 55('Dha') of the ITA, 2023, payment for lease liability has been allowed as deduction. Interest expense on lease liability has been disallowed to avoid double deduction since payment for lease liability includes payment of principle and interest;

v. Accounting amortization of license fee has been disallowed and full year tax amortization (BDT 880,000,000/6/1,000) on straight line basis has been allowed on license fee payment.

vi. According to paragraph 4 of Part II of the First Schedule to the ITA, 2023, provision for gratuity has been disallowed and actual transfer to approved gratuity fund has been allowed as deduction;

vii. Incentive bonus (BDT 9,800) is within the allowable limit (BDT 907,424×10%) set out in Section 30(j) of the ITO, 1984;

viii. Fess for technical assistance has initially been disallowed and separately allowed up to the limit (907,424×8%) set out in section 30(h) of the ITO, 1984;

ix. According to Section 49('Tha') of the ITA, 2023, only realized loss (BDT 56,576 – BDT 26,988) has been allowed for deduction;

x. Professional fee and stamp duty paid for transfer of shares have been deducted from sale proceeds of shares to compute taxable capital gain assuming this expense was not considered in computing capital gain in accounts;

xi. Tax dep. has been calculated following the rates provided in the Third Schedule to the ITA, 2023 as below:

Particulars	Machineries	Building	Computer	Office equipment	Software	Vehicle	Total
Opening WDV	698,670,950	120,340,000	62,265,000	9,787,000	23,450,000	74,587,965	989,100,915
Addition	34,560,000	-	8,700,000	1,200,000	3,000,000	3,000,000	50,460,000
Base value	733,230,950	120,340,000	70,965,000	10,987,000	26,450,000	77,587,965	1,039,560,915
Dep. rate	10%	10%	25%	10%	10%	10%	
Depreciation	73,323,095	12,034,000	17,741,250	1,098,700	2,645,000	7,758,797	114,600,842
Figure in '000	73,323	12,034	17,741	1,099	2,645	7,759	114,601

xii. According to Section 22 of the ITA, 2023 amount transferred to retained earnings/reserve during the year from the profit earned in the previous assessment year is considerable as income if the transferred amount exceeds 70% of the profit. Amount transferred to retained earnings/reserve from the last year profit is BDT 789,432 which is 76.70% of the profit of the last year. Hence the amount transferred to retained earnings/reserve has been considered as income and taxed @ 10%;

xiii. According to Section 23 of the ITA, 2023, the stock dividend has been considered as income since it exceeded the cash dividend and taxed @10%.

Question# 4:

a) Euro Dorsey Bangladesh manufactures and distributes different types of high quality office furniture. Recently, it has exported premium quality steel case ergonomic MX530 model chair to its parent company in Ireland. The terms of the transaction are FOB destination with a price of USD 265 per chair. Euro Dorsey Bangladesh has the following cost exposure to sell the chair in local market. Assume that USD 1 equals to BDT 107.

Particulars	**Figures in BDT**
Direct material	20,000
Direct labor	900
Manufacturing overhead	2,000
Share of administrative expense	3,000
Share of sales and marketing expense	2,000
Other indirect overhead	3,000
Total cost per unit	30,900
Selling price	36,000

The export requires a transportation cost of BDT 500, superior packaging of BDT 500 and BDT 2,000 for freight and insurance per unit of chair. Admin expense for the export would be BDT 1,000 only but no local admin or sales, marketing expense or indirect overhead would be incurred. There would also be a drawback of BDT 1,000 for duties paid for import of raw materials.

Requirement:

Considering the Transactional Net Margin Method (TNMM), determine an appropriate arm's length price for Euro Dorsey Bangladesh, TP adjustment and any additional income tax exposure. **[Marks 5]**

b) Oval Bangladesh PLC ('Oval Bangladesh') is a subsidiary of a global conglomerate Oval AG of Germany. Oval Bangladesh markets various FMCG products in Bangladesh, some of which it produces in its factory in Mirershorai and others it produces by a contract manufacturer in India, Oval India Ltd, which is a subsidiary of Oval AG as well. As per group's transfer pricing policy, the contract manufacturer Oval India sold such goods to Oval Bangladesh at cost plus 5.5 percent mark-up in 2022-2023 fiscal year.

The following table contains last three year's weighted average mark-up of uncontrollable comparable companies for contract manufacturing activities:

Company	**Last 3 year's weighted average mark-up**
A	9.5%
B	11.2%
C	3.8%
D	7.6%
E	5.1%
F	4.3%
G	8.8%
H	6.6%

As per the Income Tax Act 2023, Bangladesh taxing authority measures the arm's length range by the interquartile range of results, which consists of the results ranging from 30% to 70%, for which a certain number of data set is required as per the provision of Income Tax Act 2023.

Requirements:

i) Identify the arm's length mark-up range for contract manufacturing from the above table. **[Marks 4]**

ii) Identify the arm's length mark-up in case the number of data set is available for 5 only instead of 8 as given in the table above i.e., data set available shall be for company A, B, C, D and E only. **[Marks 2]**

Answer to the Question# 4 (a):

Particulars	**Local sales**	**Export**
	Figures in BDT	**Figures in BDT**
Direct material	20,000	20,000
Direct labor	900	900
Manufacturing overhead	2,000	2,000
Share of administrative expense	3,000	1,000
Share of sales and marketing expense	2,000	-
Other indirect overhead	3,000	-
Export standard packaging	-	500
Freight and insurance	-	2,000
Duty drawback	-	(1,000)
Total cost per unit	30,900	25,400
Profit	5,100	Should be 4,192 @ 16.50%
Selling price	36,000	Arm's length price per unit 29,592
Percentage of profit on total cost	16.50%	Note-1

Note:1 Percentage of profit on total per unit cost for local sales (i.e. the internal comparable) has been applied on the total per unit cost for export.

Calculation of TP adjustment and additional income tax exposure

Particulars	**Figures in BDT**
Arm's length price per unit	29,592
Selling price of per unit of chair exported (USD 265×107)	28,355
Transfer pricing adjustment per unit	1,237
Number of units sold	10,000
Total transfer pricing adjustment	1,23,70,000
Income tax exposure @ 27.5%	34,01,750

Answer to the Question# 4 (b)(i):

At first, we need to rearrange the data set in ascending order as follows:

Sl. No.	Company	Last 3 year's weighted average mark-up
1	C	3.80%
2	F	4.30%
3	E	5.10%
4	H	6.60%
5	D	7.60%
6	G	8.80%
7	A	9.50%
8	B	11.20%

Total number of data set = 8

30th Percentile is = 8 x 30/100 = 2.4

Since this is not a whole number, the mark-up of 30th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 3 of the reconstructed table, which is 5.1%

70th percentile is = 8 x 70/100 = 5.6

Since this is not a whole number, the mark-up of 70th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 6 of the reconstructed table, which is 8.8%

Therefore, the arm's length ranges between 30th percentile to 70th percentile is 5.1% – 8.8%.
Since 5.5% mark-up charged by Oval India falls within this range of 5.1% – 8.8%, it is deemed to be the arm's length price and no adjustment is required.

Answer to the Question# 4 (b)(ii):

Section 235(2)(c) of the Income Tax Act 2023 provides that if the dataset is less than six entries, the arm's length price shall be the arithmetical mean of all the values included in the dataset i.e., the arithmetical mean of all the values included in data set 'A', 'B', 'C', 'D', and 'E'.

Hence the arm's length price shall be as follows:

Sl. No.	Company	Last 3 year's weighted average mark-up
1	A	9.50%
2	B	11.20%
3	C	3.80%
4	D	7.60%
5	E	5.10%
Arithmetical mean		7.44%

Hence arm's length price shall be 7.44% mark-up.

Question# 5:

The VAT authority has initiated a VAT audit, alleging that Dupont Bangladesh Limited had not deducted VAT at source amounting to Tk. 40,00,000 during the financial year 2022-23. Dupont Bangladesh Limited has provided a written response, an extract of which is as follows:

"We supplied various industrial materials to the chemical manufacturer as well as other customers in the manufacturing sector. We have been submitting VAT returns on a timely basis and are a responsible taxpayer in the country. The VAT authority, while reviewing the purchases, applies a uniform rate of 15% for all purchases and compares the VAT amount already deducted at source, claiming the balancing amount. We disagree with the position of the VAT authority and request lawful treatment because some of the items are not subject to VAT at source at the full rate; rather, a majority of items shall be taxed at 7.5%, and in some cases, even at 5%. Therefore, the company has deducted the appropriate rate of VAT at source and deposited the same to the government exchequers. However, we have examined the records and found that only in one case an amount of Tk. 50,000 has not been deducted at a rate prescribed by the law."

Requirements:

a) Describe the factors that might increase the likelihood of a VAT audit**.[Marks 4]**
b) What are the compliances required for VAT at source and the penalty for the short deduction of VAT at source under the VAT & SD Act, 2012? **[Marks 4]**

Answer to the Question# 5 (a):

Factors increasing the likelihood of a VAT audit:

The purpose of a VAT audit is to ensure that businesses comply with VAT laws by accurately reporting transactions to the tax authority, collecting and depositing the correct amount of VAT to the government, and to detect non-compliance, errors, omissions, and fraudulent activities.

Additionally, an audit can provide guidance to businesses to comply with VAT laws. In practice, VAT authorities often choose businesses for audits randomly. However, there are several key factors that may increase the risk of a VAT audit:

(1) Irregular or multiple returns: If a business file returns irregularly or submits multiple returns at once, the chances of a VAT audit increase.
(2) Registration or amendment: If a taxpayer requests to amend VAT registration or any information with the VAT authority, such as changes in address or bank details, the chances of an audit increase.
(3) Refund application: If a business files an application for a VAT refund, the chances of being selected for an audit increase.

(4) Business closure: If a business applies for closure, the VAT authority may initiate an audit.
(5) VAT clearance certificate: If a business requires a VAT clearance certificate, this may trigger a VAT audit.
(6) VDS confirmation: The VAT authority often focuses on collecting VDS appropriately, and businesses required to deduct VAT at source have a higher probability of being selected for a VAT audit.
(7) Irregularities in VAT returns: Inconsistencies in VAT returns, such as reporting incorrect figures, using incorrect codes, or claiming excess input tax credits, can trigger an audit.
(8) Previous non-compliance: If a business has a history of non-compliance with VAT laws and regulations, it may be subject to more frequent audits.
(9) Complaints: VAT authority may receive complaints from certain sources about a business's VAT practices, or reports of suspected non-compliance, which can trigger an audit. Additionally, the tax authority may randomly select businesses for VAT audits.

Overall, a VAT audit is an important process to ensure that businesses comply with VAT laws and regulations. By understanding the factors that increase the risk of a VAT audit, businesses can take steps to mitigate potential non-compliance issues and reduce their risk of being audited.

Answer to the Question# 5 (b):

In Bangladesh, the Value Added Tax and Supplementary Duty Act of 2012 governs the VAT system. VAT at source is a mechanism by which VAT is collected at the source of supply, i.e., at the time of payment of consideration for goods or services. The following are the compliances required for VAT at source and the penalties for non-compliance under the VAT Act in Bangladesh.

Compliances required for VAT at source:

(1) Withholding entities are required to deduct VAT at source from the designated supply of goods and services while making payment of consideration.
(2) Purchases must be made with an appropriate tax invoice.
(3) The VAT so deducted must be deposited within 7 days (in case of unregistered withholding entity or supply recipient, within 15 days of payment of consideration) following the month of deduction.
(4) A certificate of deduction must be issued within 3 working days after depositing VDS.
(5) A copy of the certificate, along with the treasury challan, must be submitted to the VAT circle office.
(6) Registered taxpayers need to disclose VDS in their monthly VAT returns.

Penalties for non-compliance with VDS rules:

(1) If any withholding entity required to deduct VAT at source fails to do so, a penalty of 50% to 100% of the short deducted or non-deducted amount may be imposed by the VAT authority.
(2) For any delay in the deposit of VDS amount, 2% interest on amount so deducted on a half-yearly basis, shall be paid.
(3) Apart from the above, if withheld VAT is not deposited into govt. exchequer within the stipulated timeline, responsible persons to withheld and deposit the amount of VAT as well as the executive officer of the concerned organization may be individually penalized not exceeding the amount of BDT 25,000 by the respective VAT Commissioner.

Question# 6:

. Magneto Bangladesh PLC ("Magneto') is a manufacturing concern, and has been operating in Bangladesh in FMCG sector since 2015. Magneto runs its business through two factories (one at Mawna, Gazipur and the other one at Rupgonj, Narsingdi), one Central warehouse at Tejgaon, Dhaka and multiple sales centers located across the country under a Central BIN it obtained under VAT & SD Act 2012. Recently, Magneto faced VAT audit by the VAT Audit team of respective Divisional Office for the fiscal period 2019-2020. Upon audit, the VAT Audit Team issued show cause notice to Magneto to provide response by seven (7) working days for certain apparent non-compliances. The issues marked as non-compliance by VAT Audit Team and the facts shared by Magneto are given below:

i) **Issue:** Magneto claimed input tax credit of Tk. 30 million in the month of July 2019. The new VAT & SD Act 2012 was made effective from 1st July of 2019. Magneto submitted its Input Output Coefficient (Musak 4.3) only on 31st July 2019. Hence the entire amount claimed as input tax credit of Tk. 30 million is liable to be cancelled on the ground that those inputs were not included in the Musak 4.3, when the input tax credits were claimed.

Facts: The input materials against which the input rebate of Tk. 30 million was claimed, were entered into the registered premises in July'19 only and used in production post 31st July 2019.

ii) **Issue:** During the month July'19 to June'20, Magneto claimed input tax credit of Tk. 76 million on account of VAT paid on promotional materials. As per VAT Audit team, this entire amount of Tk. 76 million claimed as input tax credit is liable for cancellation on the ground that these are not part of the definition of Input. On this, National Board of Revenue issued an order on 26th October clarifying a scope of input, which was included in the law through Finance Act 2020 effective from 1st July 2020.

Facts: Out of these Tk. 76 million, Tk. 15 million was for the period from 1st July 2019 to 25th October 2019 and Tk. 61 million was for the period from 26th October 2019 to 30th June 2020. As per Magneto promotional material cost was included in Musak 4.3, hence there was nothing wrong.

iii) **Issue:** in December 2019 Magneto remitted Royalty of Tk. 360 million for using intellectual property rights of its parent company upon depositing VAT of Tk. 48 million through Treasury deposit. Magneto claimed this as input tax credit based on this treasury challan. VAT Audit Team pointed out that the entire amount of Tk. 48 million claimed as input tax credit is liable for cancellation on the ground that Magneto failed to comply with the provision u/s 46(1)(kha) of VAT & SD Act 2012.

Facts: Magneto included this cost in Musak 4.3 as input cost and followed the same process as it has been following as per VAT Act 1991, so as per them it is fine as there is no impact in the Govt. revenue.

iv) **Issue:** During 2019-20 fiscal period, Magneto paid Tk. 120 million as Incentive to its distributors across the country. Considering this as service, VAT Audit Team pointed out that Tk. 18 million was to be deducted from the distributors. Hence, Magneto is liable for that amount.

Facts: Magneto has 50 distributors across the country. Under the agreement between the distributors, it pays incentives to distributors for achieving certain additional sales volumes. Magneto considers incentive payment is not a service, hence there is no VAT deduction applicable.

Requirement:
Being the consultant of Magneto, you are requested to provide assessment of the matter and possible arguments/remedies for Magneto in line with the provisions of VAT & SD Act 2012**. [Marks 12]**

Answer to the Question# 6:

Date:
The Finance & Control Director
Magneto Bangladesh PLC

Subject: Assessment of the legal position and possible arguments/remedies thereof on the alleged non-compliances under VAT & SD Act 2012 based on VAT audit for the fiscal period 2019-20.

Dear Sir,

This refers to your letter ref. no. ….. dated ….. on the subject matter. We've gone through the matter in details and scrutinized the same as per the provisions of VAT & SD Act, 2012, relevant Rules, SROs and Orders thereof if any. Based on this, we summarize below our assessment on the alleged non-compliances as pointed out by the VAT Audit Team including possible arguments/remedies thereof:

Issue (i):
Assessments and Arguments/remedies:

Section 46(1)(ga) of the VAT & SD Act, 2012 provides that input tax credit can be claimed within four (4) tax period of purchasing or procuring such input. In this case, there's no such lapse, hence the input tax credit should be allowed. Moreover, the point raised by VAT Audit Team that input tax credit should not be allowed if it is not included in the Mushak 4.3 on the date such credit, is claimed is also not warranted by the law. This is because, while section 46(1)(da) of the VAT & SD Act, 2012 provides that input tax credit cannot be claimed if such input item is not included in the Mushak 4.3, it does mean that Mushak 4.3 has to be submitted on the day when such input tax is claimed. Magneto submitted their Mushak 4.3 on 31st July 2019 i.e., within the same tax period, when such input item was included in the Mushak 4.3, hence there's no non-compliance.

Issue (ii):
Assessments and Arguments/remedies:

There's no non-compliances for claiming such input tax credit of Tk. 76 million as the amounts were included in Mushak 4.3. Also, for the period of 1st July'19 to 25th October'19, when the input tax credit of Tk. 15 million

was claimed, there was no definition of input provided, neither there was any restriction imposed under section 46(1) of the VAT & SD Act 2012 for claiming any such input tax credit on VAT paid on promotional materials.

For the period of 26th October'19 to 30th June'20 the amounts of Tk. 61 million claimed as input tax credit on VAT paid on promotional material was also correct, although an Order dated 26th October, National Board of Revenue issued defining the scope of Input. This is because NBR do not possess any such authority under rule 118(ka) of the VAT & SD Rules, 2016 to issue any such order.

Issue (iii):
Assessments and Arguments/remedies:

Section 46(1)(kha) of VAT & SD Act 2012 provides that for import of services, unless the output VAT amounts are included in the return separately, Input Tax credit on any such import of services shall not be allowed. Hence, let's acknowledge, there's a procedural lapse, which needs to be corrected. So, Magneto should submit a revised return upon making the amendment. This is allowed under rules 49 of the VAT and SD Rules, 2016 subject to it is filed within four (4) years of such clerical mistake.

However, in terms of clause (kha) of sub-rule (3) of rule 49 of the VAT and SD Rules, 2016, application for amendment of VAT Return cannot be submitted if the VAT authority starts any audit or enquiry or in any other manner the error is discovered.

Hence, as VAT audit is being conducted by the authority, VAT Return cannot be amended for the instant case.

Issue (iv):
Assessments and Arguments/remedies:

Magneto pays these incentives to its 50 distributors across the country based on the agreement with them for achieving certain additional sales volumes.

In terms of clause (100) of section 2 of the VAT and SD Act, 2012, "supply of service" means such a supply is not a supply of goods, money or immovable property, which, without prejudice to the generality shall include the following, namely –

(a) A grant, assignment, termination, or conferment of a right;
(b) Making a facility, an opportunity, or an advantage available;
(c) Agreement to perform an act, to refrain from performing an act or accepting a situation or tolerate an act or a situation; and
(d) The issuance, transfer or conferment of a license, permit, certificate, concession, authorization, or a similar right.

As per above definition, such transaction (incentives paid by Magneto to Distributors) is supply of service. If we go through the service explanation under VAT, such transaction should fall under residual service i.e., Other Miscellaneous Service (S099.20).

Other Miscellaneous Service is under the list of mandatory VAT Deduction at Source @15%.

Finally, we would like to inform you that on the matters pointed out by the VAT Audit team, you're in a defendable position on the issue (i) and (ii) where there is a remedy available. However, you're not in a defendable position on the issue (iii) and (iv).

In view the above, we would advise you to provide the response to VAT Audit team within the timeline they specified and if you need any further assistance in this regard, please do not hesitate to contact us.

Thank you.
Yours sincerely,
Consultant

Question# 7:

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Fiesta Bread and Biscuits Limited (FFBL) is one of the leading bakery food manufacturing companies in Bangladesh. It pays VAT on sales adopting 15% output VAT rate. Mr. Rafique Azad is the VAT manager of the Company. He faced some unusual events during the month of October 2023 and became confused about their VAT implications. Please prepare a memo to Mr. Azad elaborating the VAT implications and compliance requirements.

a) FFBL imported Flour of 30,000 kilograms during the month of September 2023 and claimed input tax credit for the whole of amount of VAT (BDT 225,000) and Advance Tax paid (BDT 60,000) at the time of import of the same. During the month of October 2023, there was prolonged and heavy rainfall in the country. FFBL could not imagine in advance that there would be such a heavy rainfall during the month of October and did not take adequate precautionary measures to safely store the raw flours. 50% of the flour imported got damaged and could not be used in the production process, rather the damaged stock was sold to a fish feed company for a total price of BDT 375,000. **[Marks 2]**

b) FFBL entered into an agreement for Employee group insurance scheme for the employees of the company. Under the scheme of the agreement, FFBL would pay an amount BDT 150,000 as insurance premium to the insurance company from October 2023. The insurance company in return will compensate the employees on termination of employment or due to any physical injury in the course of their employment with FFBL. **[Marks 2]**

c) FFBL had a long pending dispute over a popular brand of biscuits with one of its competitor companies regarding its patent. The dispute ultimately moved to the Court of law. Recently High Court Division of Bangladesh Supreme Court gave a verdict in favor of FFBL and the company received an amount of BDT 5,000,000 as compensation as for infringement of patent right. **[Marks 2]**

d) FFBL received an amount of BDT 550,000 as advance received against sales from a reputed retail chain store in Dhaka City. Under the terms of contract, FFBL has provided a guarantee for supplying pre-determined quantities of different products of FBBL at the beginning of each month. **[Marks 2]**

e) During the month of October 2023, FFBL purchased 15,000 kilograms of flours from a local flour mill for an amount of BDT 828,000 inclusive of 15% VAT. Considering the limitation in production capacity and the surging demand for the products of FFBL, it did not receive the flours in its warehouse. Rather it instructed the supplier to supply to flour to another non-branded manufacturer to whom FFB outsourced its manufacturing process. The other manufacturer supplied the finished goods to FFBL after manufacturing and raised a tax invoice of BDT 50,000 adding 15% VAT for the processing fee. **[Marks 2]**

Answer to the Question# 7 (a):

According to Rule 24A of the VAT & SD Rules, 2016, FFBL is required to apply before the VAT Divisional officer in VAT Form 4.4 for disposal of the damaged inputs. The VAT Divisional officer, if satisfied about the unusable inputs, shall give decision about supply or destruction of damaged flours within 15 working days of being informed about the same. The VAT Divisional officer shall issue a report in this regard to the Commissioner of VAT within 7 days of giving the decision. Upon receipt of the decision of the VAT Divisional officer, FFBL has to make an increasing adjustment of the input VAT paid at the time of import related with damaged flours in the subsequent VAT return. No such adjustment is required for Advance Tax paid the at the time of import since it is not input VAT.

Calculation for increasing adjustment:
Actual price = (BDT 225,000/0.15) X 50% = BDT 750,000
Selling price = (BDT 375,000/1.15) = BDT 326,087 (selling price is considered inclusive of VAT)
Ratio of selling price to actual price = (BDT 326,087 / BDT 750,000) = 0.4348 or 43.48%

Hence, amount of increasing adjustment against taken input tax credit of damaged portion = BDT 225,000 X 43.48% = BDT 97,830.

Accordingly, FFBL is required to make an increasing adjustment in VAT Return of respective month.

Further, VAT @15% would be applicable for selling damaged flours.

Answer to the Question# 7 (b):

According to Section 26 read with paragraph 4(b) of the Second Part of the First Schedule to the VAT & SD Act, 2012, life insurance policy is exempted from VAT. If Employee Group Insurance Scheme is a kind of life

insurance policy, FFBL is exempted from payment of VAT on insurance premium. According to paragraph 5(4) of the VAT Deduction and Collection at Source Rules 2021 (SRO No. 240-law/2021/163-VAT) dated 29 June 2021, VAT is not required to be deducted at source from payment for procurement of goods and services exempt from VAT by the First Schedule to the VAT & SD Act, 2012. Hence, FFBL is not required to deduct VAT at source from employee group insurance premium.

Answer to the Question# 7 (c):

According to Section 15(1) of the VAT & SD Act, 2012, VAT is imposed on taxable supply and taxable import. A supply has been defined in Section 2(94) of the VAT & SD Act, 2012 as supply of goods, supply of services, supply of immovable properties or a combination of them. Section 2(60) of the VAT & SD Act, 2012 provides a definition of goods and according to the definition, providing compensation/damages to any party does not resemble supply of goods. Compensation does not even come under the definition of 'Service' or "Supply of service" as provided in Section 2(99) or 2(100) of the Act respectively. It is not a supply of immovable property either. A compensation is tantamount to supply of money which stands outside the ambit of VAT. Hence, the compensation would not attract any VAT.

Answer to the Question# 7 (d):

According to Section 33(1) of the VAT & SD Act, 2012, the VAT imposed on a taxable supply shall become payable at the time when any of the following activities first occurs, namely: -

(a) when such supply is made;
(b) when a tax invoice for such supply is issued;
(c) when a part or the whole of the consideration is received and
(d) when any supply is used personally or given to others for use.

Since, a part of the whole consideration is received by FFBL, it has to pay the VAT due on the advance. According to Rule 40(1)('Ga') of the VAT & SD Rules 2016, FFBL is required to issue tax invoice in form VAT 6.3 in two copies in this regard. According to Rule 40(1)('Ga')(AA), the original copy is to be provided to the purchaser. In the absence of any specific guidance in the VAT laws, FFBL may keep a copy of the original tax invoice issued for advance with goods at the time of physical delivery of goods.

Answer to the Question# 7 (e):

According to Section 46(1)('Gha') of the VAT & SD Act, 2012, except contract manufacturing, VAT paid on the goods or services under the custody or possession or supervision of another person (other than the VAT payer) cannot be claimed as input tax credit. In the given scenario, though the goods are in possession of another person, the person is a contract manufacturer. As such, According to Section 46(1)('Gha') of the VAT & SD Act, 2012, FFBL would be eligible to claim credit of input tax paid on procurement of flours even though the stock is not under its possession.

Further, in terms of contract manufacturing guideline, FFBL shall be required to issue Mushak-6.4 for the transfer of raw materials to contract manufacturer and contract manufacturer will also issue Mushak-6.4 for transfer of finished goods to FFBL.

In addition, FFBL shall also be liable to pay VAT on tax invoice raised by the contract manufacturer for the processing fee and such shall be claimed by the FFBL as input tax credit given that it has been included in the input-output coefficient declaration i.e., in form Mushak-4.3.

Question# 8:

. Sams Electronics is a registered limited company under the Companies Act, 1994. It is a trading enterprise dealing in various types of electronic items in Bangladesh. Sams Electronics has imported a container of electronic items from Thailand for sale in the local market. Below is the necessary information regarding the imported goods:

(i) The total invoice value for the imported electronic items is USD 150,000.
(ii) Additional costs incurred by Sams Electronics include shipping charges of USD 5,000 and insurance costs of USD 2,000.
(iii) The supplier has granted a trade discount of 10% on the total invoice value.
(iv) The customs authority charges a processing fee of USD 500 for handling customs clearance.

(v) The applicable customs duty rate for all electronic items is 15%.
(vi) Value Added Tax (VAT) is levied at a rate of 15%.
(vii) Advance Income Tax (AIT) is 5%, and the Advance Tax (AT) rate is 5%.

Requirements:

a) Calculate the adjusted transaction value for the imported electronics. **[Marks 3]**

b) Determine the duties and taxes on the imported items based on the adjusted transaction value. **[Marks 3]**

c) Sams Electronics is suspected of mis-declaring the value of certain electronic components to reduce customs duties. Discuss the relevant provisions of the law addressing misdeclaration and outline the penalties and consequences that Sams Electronics may face, if found guilty. **[Marks 5]**

d) Some of the imported electronic components are under suspicion of being prohibited or restricted items. Explain the provisions of the Customs Act that empower customs authorities to seize goods. Outline the procedures Sams Electronics can follow to challenge the seizure and the legal recourse available to them. **[Marks 5]**

Answer to the Question# 8 (a):

Computation of adjusted transaction value:

Adjusted Transaction Value = Invoice Value - Trade Discount + Additional Costs
Adjusted Transaction Value=USD 150,000−(150,000×0.10) +USD 5,000 (shipping charge) + USD 2,000 (insurance cost) + USD 500 (handling customs clearance)
=USD (150,000−15,000)+5,000+2,000+500 = USD 142,500

Answer to the Question# 8 (b):

Computation of duties and taxes payable on the adjusted transaction value:

Customs Duty: USD 142,500×0.15 = 21,375
Value Added Tax (VAT): (USD 142,500+Customs Duty) ×0.15 = 24,581
Advance Income Tax (AIT): USD 142,500×0.05 = 7,125
Advance Tax (AT): (USD 142,500+Customs Duty)×0.05 = 8,194

Answer to the Question# 8 (c):

As per section 32 of the Customs Act, 1969, a person shall be guilty of an offence under the law if s/he provides any untrue declarations, certificate, documents, statement, information or records in connection with any matter of customs.

Section 156 of the Customs Act, 1969 described the penalties provisions for the offences related to customs. However, punishment for offences under section 32 has been specified in serial no. 14 of table under sub-section (1) of section 156, where it has been mentioned that if a person commits an offence of mis-declaration shall be liable to a penalty at least twice but not exceeding four times the amount of tax evaded in respect of which such offence is committed. Further, the related goods shall be liable to confiscation and upon conviction by a magistrate such person shall further be liable to rigorous imprisonment for a term not exceeding 5 years or to a fine not exceeding Tk. 50,000 or to both.

Answer to the Question# 8 (d):

Section 15 of the Customs Act, 1969 prohibits import of specific goods whether by air, land or sea into Bangladesh. Further, government may by official notification prohibit or restrict importation and exportation of goods. Section 17 empowers detention and confiscation of prohibited goods imported into Bangladesh and be disposed of.

As per section 193 of the Customs Act, 1969, a person aggrieved by any decision or order passed by an officer of Customs lower in the rank of Commissioner of Customs may file an appeal before the Commissioner (Appeal). Therefore, Sams Electronics may lodge an appeal before the Commissioner (Appeal) within 3 months from the date of communicating such decision or order. Provided that Commissioner (Appeal) may allow additional 2 months for filing appeal in special ground.

Further, in terms of section 196A of the Customs Act, 1969, Sams Electronics may file appeal before the Customs, Excise & VAT Appellate Tribunal against any decision or order passed by the Commissioner of Customs.

---The End---